

Asia Tech Hardware**Quick Take: Largan monthly sales tracking below consensus; profit taking risk rises after CPO-driven rally**

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Largan's Jul–Aug sales totaled NT\$9.9B, down 20% YoY in US\$ terms. Assuming typical seasonality for September, 3Q26 revenue should be NT\$14.9-16.7B (-16% to -5% YoY), with the NT\$15.5B midpoint, c.15% below cons.

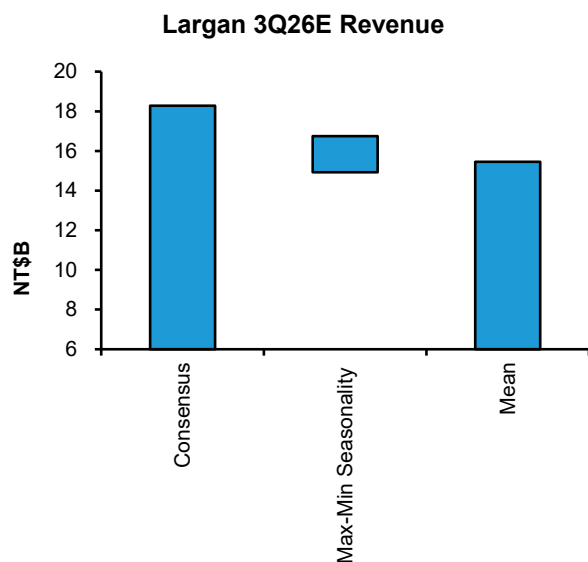
We attribute this to potential late shipment of foldable phone in late-2026, the delayed launch of standard iPhone 18 to 1H27, and soft Android demand. Smartphone demand was likely pulled in into 1H26 ahead of expected end device ASP increases, implying more subdued 2H26 growth across the handset supply chain (Monthly [China smartphone](#) and [iPhone tracker](#))

3Q26 will also mark Largan's first quarter of meaningful variable-aperture lens shipments. We model gross margin to rise 80bp QoQ to 50.2%, but see downside risk as revenue scale is lower than expected and it takes time to ramp up yields for the new technology.

Despite near-term softness in the smartphone market, investor focus has increasingly shifted toward Largan's CPO opportunity. The stock has rallied **197% YTD**, with momentum accelerating notably since August. The company has announced multiple land and property acquisitions with a total value nearly NT\$7B since June, which the market interprets as a signal of management's confidence in future CPO expansion. Our June [Largan upgrade note](#) assumes the company to capture US\$40 component content per FAU by 2028. There's upside to our estimates if Largan supplies the complete FAU module, lifting blended ASP.

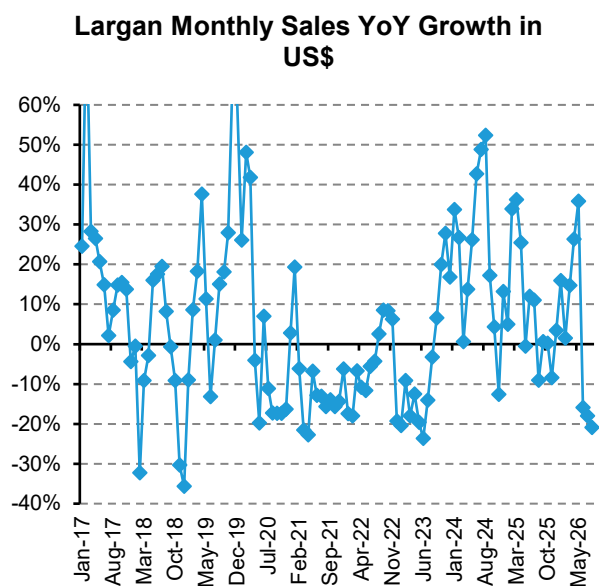
Largan trades at 37x NTM P/E, near a multi-year high. We remain constructive on its long-term CPO opportunity, but believe near-term profit-taking risk is increasing after the recent rally and weak monthly sales. Outperform

EXHIBIT 1: Largan 3Q26 sales would be below consensus by 15% in NT\$ terms based on historical seasonality



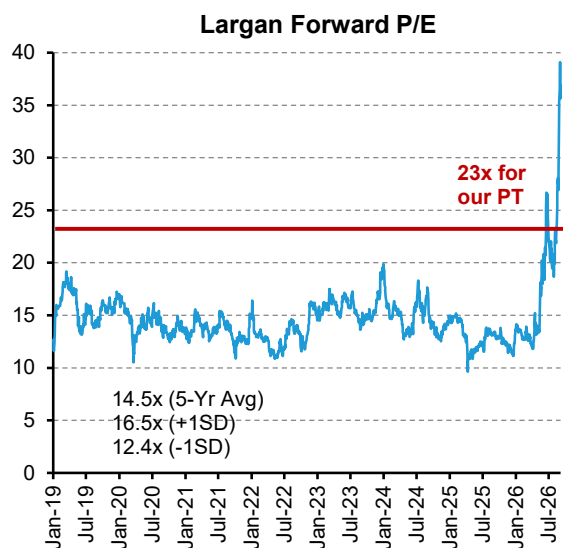
Source: Bloomberg, Company disclosure, Bernstein analysis

EXHIBIT 2: Largan's Julr-Aug 2026 revenue was down 20% YoY in US\$ terms



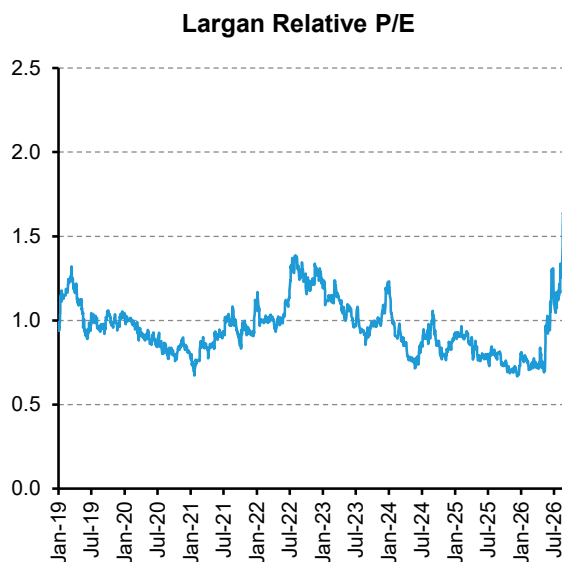
Source: Company data, Bloomberg, Bernstein analysis

EXHIBIT 3: Largan is now trading at 37x P/E, marking a multi-year high



Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 4: Largan's relative valuation to TWSE index is 2.1x, significantly above the historical average



Source: Bloomberg, Bernstein estimates and analysis

INVESTMENT IMPLICATIONS

Largan: We rate Largan Outperform, PT=NT\$5,150.00.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	4 Sep 2026	Price Target	TTM Rel. Perf.	Reported EPS			Reported P/E (x)			
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
3008.TT (Largan)	O	TWD	7,400.00	5,150.00	177.1%	TWD	158.08	187.55	208.38	46.8	39.5	35.5
ASIA			1,948.83									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Largan Precision Co Ltd**

We set a NT\$5,150 target price using a P/E multiple of 23x against our 2027-28 average forward EPS estimate of NT\$224

RISKS**Largan Precision Co Ltd**

Downside risks to our target price for Largan include:

- Slower-than-expected CPO/NPO adoption by 2028 and potential failure of Largan's product qualification in CPO/NPO
- Weaker-than-expected replacement cycle for iPhone 18
- Stronger-than-expected competition and hence bigger-than-expected share loss on major customers

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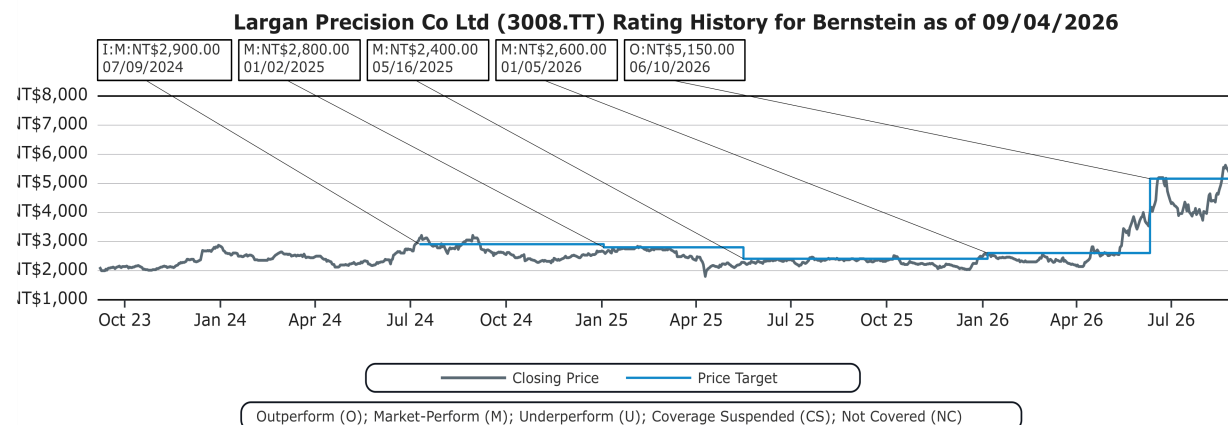
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Underperform	SELL	13.1%	13.6%

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